

Abner

The Macroeconomy!



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The macroeconomy

National income statistics actually involve a variety of different statistics.

- * Gross domestic product (GDP)
- * Gross national income (GNI)
- * Net national income (NNI)

Gross domestic product, refers to all that is produced with the geographical boundaries of a country over a period of time, usually a year. It doesn't matter whether the productive assets are owned within the country or are foreign owned.

- * Output method
- * Income method
- * Expenditure method

However, all these methods will produce the same value because they all measure the flow of income in an economy over a particular period of time.

Net domestic product (NDP) is obtained by deducting depreciation, or capital consumption, from GDP.

Gross national income (GNI), is the sum of a country's Gross domestic product and its net income (positive or negative) from abroad. It represents the value produced by

a country's economy in a given year, regardless of whether the source of the value created is domestic production or receipts from abroad.

Net national income, refers to Gross national income minus the depreciation of fixed capital assets, such as buildings, machinery and equipment through wear and tear.

Nominal GDP and real GDP:-

Nominal (or money) GDP is GDP measured in terms of the prices operating in the year in which output is produced. It is sometimes related to GDP at current prices and is measured that has not been adjusted for changes in the price level.

Nominal GDP may give misleading impression of how well a country is performing. This is because the value of nominal GDP may rise not because more goods and services are being produced but simply because prices have risen. For example, if 100 billion products are produced at an average price of \$5, GDP will be \$500 billion. If the next year same output of 100 billion product is produced but the average price rises to \$6, nominal GDP will rise to \$600 billion. So to get true picture of what is happening to output, economist convert nominal GDP into real GDP.

To calculate real GDP, economists measure GDP at constant prices (the prices operating

in a selected year). This ensures the effect of inflation that distorts nominal GDP is removed. For example, in 2016, a country's GDP is \$800 billion and the price index is 100. In 2017, nominal GDP is \$900 billion and the price index is 120. Using the formula to calculate real GDP:

$$\text{Real GDP} = \text{Nominal GDP} \times \frac{\text{price index in base year}}{\text{price index in current year}}$$

$$\$900 \text{ billion} \times \frac{100}{120} = \$750 \text{ billion}$$

The price index used to convert nominal into real GDP is called GDP deflator, which measures the prices of products produced, rather than consumed, in a country. So it includes the prices of capital goods as well as consumer products and includes the price of exports but excludes price of imports.

Questions

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Q2 Explain the difference between nominal and real GDP, use numerical example? 8